The RBI Balance Sheet as on 30 June 2020 on a net basis, after taking out reverse repo and other liquidity-related deposits of the banks of Rs 6.68 lakh crore, was Rs 46.7 lakh crore.

RBI's reserve money at the end of FY 2019–20 was Rs 31.63 lakh crore —currency in circulation of Rs 26.60 lakh crore, bankers' deposits of Rs 4.64 lakh crore and 'other deposits' of Rs 0.39 lakh crore. The net accumulated capital of RBI at the end of 2019–20 was Rs 15.1 lakh crore largely hidden under the head 'Other Liabilities and Provisions'. The three items shown more explicitly—Capital of Rs 5 crore, Reserve Fund of Rs 6500 crore and Other Reserves of Rs 232 crore—are too small to be counted.

In a nutshell, RBI's net Balance Sheet of Rs 46.7 lakh crore comprises two principal liabilities: reserve money liabilities of Rs 31.6 lakh crore and accumulated capital of Rs 15.1 lakh crore. Its accumulated capital of Rs 15.1 lakh crore is 3,00,000 times the Rs 5 crore of capital invested by the government.

Insurance against Raids by Speculators is the Principal Benefit of Foreign Exchange Reserves

The daily turnover in foreign exchange markets was estimated to be over $6 trillion a day in 2019, more than twice the annual GDP of India. As traders and capital providers are faced with temporal mismatches in their foreign exchange requirements, there is considerable forward buying and hedge trading. There is too much at stake in this market and stability of currency exchange prices in the spot and future is extremely important. A lot of money can be made by traders and speculators if they can foresee or manipulate exchange prices in the future.

After currencies moved off the gold standard with the advent of the Bretton Woods system in 1944 and the indirect gold standard moving off the dollar standard in 1971, they have no single or common anchor. The